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Zhejiang Supor - A

A reset in earnings and dividend; downgrade to Neutral

We downgrade Supor to Neutral as we are less confident in its ability to cushion cost inflation via captive OEM export demand. Supor's preliminary 2Q results (our [first take](#)) came as a disappointment, and the analyst briefing gave us little confidence in the company's near-term earnings recovery. After the revision, our FY26-27E EPS suggests 6-9% downside to consensus; the bigger risk, in our view, is dividend disappointment, where we see 20% downside to Street DPS expectations - our FY26E DPS is Rmb2.01 or 4.7% yield, vs. consensus at Rmb2.51 or 5.8%. We cut our target multiple to 16x, placing it near 1 STD below historical average (old: 19x, in line with historical average), producing a Jun-27 price target of Rmb45 that only suggests 5% potential upside. Downgrade to Neutral.

- Downside to 2H revenue expectations.** Revenue turned to negative 3% YoY in 2Q, missing our expectation of 4% YoY. The culprit was export. SEB, Supor's 83%-owned parent-co and the source of 90% of its export revenue, seems to be controlling inventory, and it appears that inventory adjustment may continue into 2H, hurting shipment cadence visibility. Domestic business has proven resilient but is not enough to offset the export weakness. We now expect 2H revenue to grow at 3% (old: 4%) due to lower assumptions for export (+4%, vs +7% previously). This compares to Bloomberg consensus of +7% YoY (FY-1H), suggesting earnings downgrades could continue into 2H.
- OP momentum disrupted by ongoing commodity cost pressure.** GPM likely turned negative 1ppt YoY in 2Q, vs 1.2ppt expansion in 1Q, with export GPM the main drag. Supor locked in commodity prices in Apr-May, but seemingly after the petrochemical cost increase had already materialized. As a result, the lock-in didn't close the gap versus the cost markup pricing agreed with SEB before inflation picked up. Domestic GPM improved YoY on ASP hikes and SG&A was well controlled (-2% YoY), but this was not enough to offset export margin pressure. OP declined 16% YoY in 2Q, deteriorating from +3% in 1Q. Given persistent cost inflation, we now expect 2H OP to decline 3% YoY (old: +6%), despite lapping an easier base, due to lower GPM assumptions for export (16.3%, vs 19% previously).
- PT and estimate change; Downgrade to Neutral.** Supor remains a high-quality operator with solid domestic execution, product innovation and free cash flow generation. The issue is not structural relevance, but near-term earnings risk: export uncertainty, cost pressure, and limited operating leverage now make the prior premium harder to justify. We cut our FY26-27E EPS by 5-9% due to export revenue and GPM cuts, and cut FY26E DPS by 27% due to EPS cuts/lower payout assumption. We also reduce our target multiple by 15% to 16x. Our price target falls by 18% to RMB 45. Supor trades at 16x FY27 P/E on revised JPMc, still at a premium to small appliance peers due to relative stability. Key upside risks include: a more favorable export order recovery, renegotiation of export pricing, and a clearer dividend commitment.

▼ Neutral

Previous: Overweight

002032.SZ, 002032 CH

Price (27 Jul 26):Rmb42.83

▼ Price Target (Jun-27):Rmb45.00

Prior (Jun-27):Rmb55.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	2.76	2.51	-8.9%
Adj. EPS - 27E (Rmb)	2.89	2.74	-5.2%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	64	58	66	60	52
Growth	17	57	24	39	35
Momentum	49	82	57	42	85
Quality	1	4	1	5	5
Low Vol	10	4	10	22	10

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	-2.8%	8.0%	-9.1%	-17.2%
Rel	6.6%	5.0%	-5.0%	-5.3%

Company Data

Shares O/S (mn)	797
52-week range (Rmb)	52.75-38.63
Market cap (\$ mn)	5,039
Exchange rate	6.77
Free float (%)	16.0%
3M ADV (mn)	2.02
3M ADV (\$ mn)	13.4
Volatility (90 Day)	31
Index	SZBSHR
BBG ANR (Buy Hold Sell)	15 3 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	22,772	23,035	23,795	24,428
Adj. EBITDA	2,782	2,693	2,889	3,075
Adj. EBIT	2,572	2,486	2,681	2,866
Adj. net income	2,097	2,004	2,182	2,340
Adj. EPS	2.63	2.51	2.74	2.94
BBG EPS	2.69	2.75	2.94	3.06
Cashflow from operations	2,649	2,120	2,333	2,483
FCFF	2,435	1,968	2,162	2,304
Margins and Growth				
Revenue Growth Y/Y (%)	1.5%	1.2%	3.3%	2.7%
Gross margin	24.9%	24.4%	24.8%	25.1%
EBITDA margin	12.2%	11.7%	12.1%	12.6%
EBIT margin	11.3%	10.8%	11.3%	11.7%
Adj. EPS growth	(6.1%)	(4.4%)	8.9%	7.2%
Ratios				
Adj. tax rate	19.1%	19.1%	19.0%	19.0%
Interest cover	NM	226.9	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	32.8%	32.2%	33.5%	32.8%
ROE	33.0%	32.1%	33.7%	33.1%
Valuation				
FCFF yield	7.1%	5.8%	6.3%	6.8%
Dividend yield	6.1%	4.7%	5.1%	5.5%
EV/Revenue	1.3	1.3	1.2	1.2
EV/EBITDA	10.5	10.9	10.0	9.2
Adj. P/E	16.3	17.0	15.6	14.6

Summary Investment Thesis and Valuation

Investment Thesis

We are Neutral on Supor. Supor remains a high-quality small appliance name in our coverage, supported by resilient domestic execution and solid free cash flow generation. The domestic business remains relatively defensive versus large appliances, with product innovation supporting ASP and margin improvement. However, the export business, about one-third of sales, faces lower order visibility from parent SEB and margin pressure from commodity inflation under pre-agreed OEM pricing. At 16x FY27E P/E with a 4.7% FY26E dividend yield, we see fair risk-reward, as relative stability is balanced by near-term earnings and dividend reset risks. Key upside risks are export recovery and OEM export pricing renegotiation.

Valuation

We assign a 16x FY27E P/E to Supor, placing it near 1x std below historical average, and arrive at our Jun-27 PT of Rmb45.

Performance Drivers

Market	0%
Region	1%
Macro	25%
Style	2%
Idiosyn.	72%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.03	0.01
Region: China	-0.14	-0.12
Macro:		
Generic 1st 'CO' Future	-0.08	-0.33
Markit EM Composite PMI SA	-0.45	-0.29
JPM China A-shares Sentiment	0.26	0.24
Quant Styles:		
Value	-0.13	-0.09
Growth	0.11	0.07
Size	0.00	0.07

Earnings forecasts

Based on 1H26 preliminary results announcement and analyst briefing, we forecast 2Q26 revenue to decline 3% YoY (China up 2% and overseas down 14%), group GPM to decline 1ppt YoY to 22.3% (China up 0.2ppt to 28.1%; overseas down 6.3ppt to 6.4%), group opex dollars to decline 2% YoY, and NPM to decline 1.2ppt to 6.6%.

Table 1: Supor - Summary of quarterly P&L

(Rmb mn, FYE Dec 31)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
P&L								
Revenue	5,786	5,691	5,420	5,874	5,882	5,528	5,581	6,044
YoY%	8%	2%	(2%)	(1%)	2%	(3%)	3%	3%
China	3,793	3,968	3,661	3,912	3,869	4,047	3,734	4,021
YoY%	3%	4%	2%	2%	2%	2%	2%	3%
Overseas	1,993	1,723	1,759	1,963	2,013	1,481	1,847	2,023
YoY%	18%	(2%)	(10%)	(6%)	1%	(14%)	5%	3%
(COGS)	(4,403)	(4,365)	(4,123)	(4,218)	(4,408)	(4,296)	(4,351)	(4,367)
GROSS PROFIT	1,383	1,326	1,297	1,657	1,474	1,231	1,230	1,677
GPM%	23.9%	23.3%	23.9%	28.2%	25.1%	22.3%	22.0%	27.7%
China	1,045	1,107	998	1,235	1,132	1,137	1,008	1,267
GPM%	27.5%	27.9%	27.2%	31.6%	29.3%	28.1%	27.0%	31.5%
Overseas	339	219	299	421	342	94	222	409
GPM%	17.0%	12.7%	17.0%	21.5%	17.0%	6.4%	12.0%	20.2%
(OPEX)	(812)	(814)	(809)	(988)	(859)	(797)	(814)	(992)
(Selling expense)	(581)	(571)	(563)	(694)	(646)	(553)	(569)	(697)
(Admin expense)	(93)	(105)	(88)	(113)	(87)	(99)	(84)	(110)
(R&D expense)	(103)	(108)	(127)	(139)	(97)	(116)	(128)	(142)
(Business taxes and surcharges)	(35)	(30)	(31)	(43)	(29)	(29)	(32)	(44)
YoY%	5%	7%	8%	8%	6%	(2%)	1%	0%
(Selling expense)	5%	11%	15%	12%	11%	(3%)	1%	0%
(Admin expense)	1%	3%	(12%)	11%	(7%)	(6%)	(5%)	(3%)
(R&D expense)	9%	(2%)	3%	(2%)	(5%)	8%	1%	2%
(Business taxes and surcharges)	27%	(16%)	(18%)	(9%)	(17%)	(3%)	3%	2%
OPERATING PROFIT (Non-GAAP)	571	512	487	668	615	434	416	685
YoY%	12%	(9%)	(15%)	(2%)	8%	(15%)	(15%)	2%
OPM%	9.9%	9.0%	9.0%	11.4%	10.5%	7.9%	7.5%	11.3%
Other income/(expenses)	42	33	38	220	31	35	42	228
Finance income/(expense)	7	7	5	(2)	(8)	(5)	1	0
OPERATING PROFIT (Reported)	619	552	530	886	638	464	460	913
YoY%	6%	(6%)	(14%)	(7%)	3%	(16%)	(13%)	3%
OPM%	10.7%	9.7%	9.8%	15.1%	10.8%	8.4%	8.2%	15.1%
Non-operating income	1	1	1	2	2	-	1	2
(Non-operating expenses)	(1)	(1)	(1)	(2)	(1)	(1)	(1)	(2)
Profit before tax	620	552	530	886	638	462	460	913
(Income tax expense)	(124)	(110)	(104)	(156)	(133)	(101)	(87)	(152)
Tax rate %	(20.1%)	(19.9%)	(19.6%)	(17.6%)	(20.8%)	(21.8%)	(19.0%)	(16.6%)
(Minority interest)	2	1	(0)	0	(0)	1	(0)	2
Net profit	497	443	426	731	505	362	372	764
YoY%	6%	(6%)	(13%)	(10%)	2%	(18%)	(13%)	5%
NPM%	8.6%	7.8%	7.9%	12.4%	8.6%	6.6%	6.7%	12.6%

Source: Company data, J.P. Morgan estimates

We cut our FY26/27E EPS by 9%/5%, mainly due to export revenue and GPM cuts (Table 2). Post earnings forecast revision, we forecast FY26 sales to grow 1% YoY and net profit to decline 4% YoY, with a net margin of 8.7%. Over FY26-28, we forecast sales/net profit to grow at 3%/8% CAGRs, assuming export orders recover and cost pressures ease.

Table 2: Supor - Earnings forecasts changes

(Rmb mn, FYE Dec 31)	New			Previous			Change		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	23,035	23,795	24,428	23,499	24,277	24,936	(2%)	(2%)	(2%)
YoY%	1%	3%	3%	3%	3%	3%			
China	15,671	16,063	16,464	15,671	16,063	16,464	0%	(0%)	0%
Overseas	7,364	7,732	7,964	7,828	8,214	8,471	(6%)	(6%)	(6%)
(COGS)	(17,422)	(17,899)	(18,300)	(17,606)	(18,188)	(18,682)	(1%)	(2%)	(2%)
GROSS PROFIT	5,612	5,895	6,129	5,893	6,088	6,253	(5%)	(3%)	(2%)
GPM%	24.4%	24.8%	25.1%	25.1%	25.1%	25.1%	(0.7%)	(0.3%)	0.0%
China GPM%	29.0%	29.0%	29.0%	28.8%	28.8%	28.7%	0.2%	0.2%	0.3%
Overseas GPM%	14.5%	16.0%	17.0%	17.6%	17.8%	18.0%	(3.1%)	(1.8%)	(1.0%)
(OPEX)	(3,462)	(3,560)	(3,615)	(3,527)	(3,629)	(3,686)	(2%)	(2%)	(2%)
(Selling expense)	(2,465)	(2,546)	(2,589)	(2,514)	(2,598)	(2,643)	(2%)	(2%)	(2%)
(Admin expense)	(380)	(385)	(391)	(399)	(408)	(411)	(5%)	(5%)	(5%)
(R&D expense)	(484)	(490)	(493)	(470)	(476)	(479)	3%	3%	3%
(Business taxes and surcharges)	(134)	(138)	(142)	(143)	(148)	(152)	(7%)	(7%)	(7%)
OPERATING PROFIT (Non-GAAP)	2,150	2,336	2,513	2,366	2,459	2,568	(9%)	(5%)	(2%)
YoY%	(4%)	9%	8%	6%	4%	4%			
OPM%	9.3%	9.8%	10.3%	10.1%	10.1%	10.3%	(0.7%)	(0.3%)	(0.0%)
Profit before tax	2,474	2,691	2,886	2,695	2,823	2,942	(8%)	(5%)	(2%)
(Income tax expense)	(472)	(511)	(548)	(499)	(522)	(544)	(5%)	(2%)	1%
Tax rate %	(19.1%)	(19.0%)	(19.0%)	(18.5%)	(18.5%)	(18.5%)	(0.6%)	(0.5%)	(0.5%)
Net profit	2,004	2,182	2,340	2,199	2,303	2,400	(9%)	(5%)	(3%)
YoY%	(4%)	9%	7%	5%	5%	4%			
NPM%	8.7%	9.2%	9.6%	9.4%	9.5%	9.6%	(0.7%)	(0.3%)	(0.0%)
DPS	2.01	2.19	2.35	2.76	2.89	3.01	(27%)	(24%)	(22%)
Payout %	80%	80%	80%	100%	100%	100%	(20%)	(20%)	(20%)

Source: J.P. Morgan estimates.

Table 3: Supor - JPMe vs Bloomberg consensus

(Rmb mn, FYE Dec 31)	JPMe			Bloomberg consensus			JPMe vs Cons.		
	FY26	FY27	FY28	FY26	FY27	FY28	FY26	FY27	FY28
Revenue	23,035	23,795	24,428	23,556	24,521	25,448	(2%)	(3%)	(4%)
YoY%	1%	3%	3%	3%	4%	4%			
Gross Profit	5,612	5,895	6,129	5,860	6,098	6,357	(4%)	(3%)	(4%)
GPM%	24.4%	24.8%	25.1%	24.9%	24.9%	25.0%	(0.5%)	(0.1%)	0.1%
Operating Profit (Reported)	2,474	2,692	2,886	2,693	2,853	3,029	(8%)	(6%)	(5%)
OPM%	10.7%	11.3%	11.8%	11.4%	11.6%	11.9%	(0.7%)	(0.3%)	(0.1%)
Profit before tax	2,474	2,691	2,886	2,664	2,865	2,988	(7%)	(6%)	(3%)
Net profit	2,004	2,182	2,340	2,195	2,329	2,450	(9%)	(6%)	(5%)
YoY%	(4%)	9%	7%	5%	6%	5%			
NPM%	8.7%	9.2%	9.6%	9.3%	9.5%	9.6%	(0.6%)	(0.3%)	(0.0%)
DPS	2.01	2.19	2.35	2.51	2.48	2.63	(20%)	(12%)	(11%)

Source: J.P. Morgan estimates. Bloomberg Finance L.P.

Key takeaways from the analyst briefing

- **Revenue:** 1H26 revenue declined slightly by 0.6% YoY; domestic sales grew, but export sales declined. Q1 was better than Q2, as Q2 export weakness widened and became the key drag on revenue and profit.
- **Domestic sales:** Domestic business, about 70% of sales, remained in positive growth. Sales on JD platform declined due to the subsidy-induced high base last year and subsidy withdrawal this year, while Tmall and other channels maintained growth. Management highlighted product upgrades as key growth drivers.
- **Export sales:** Export weakness was mainly due to softer overseas demand and reduced orders from SEB, which accounts for over 90% of Supor's export sales. Management said SEB has been controlling inventory to avoid pressuring 3Q/4Q sales, and 2H export shipment cadence remains uncertain despite the peak season.
- **Cost pressure:** Input cost pressures began to weigh from April, with petrochemical-related plastics seeing meaningful increases. Management expects cost pressure to likely persist into 3Q; mitigation measures include ASP hike, supplier negotiations, internal cost-efficiency programs, and raw-material price locking.
- **Gross margin:** Group 1H GPM rose slightly YoY, but the mix was uneven. Domestic GPM improved due to new product launches, price increases and mix upgrade; export GPM was pressured because SEB OEM standard costs were pre-agreed and Supor sells to SEB at a fixed mark-up percentage above standard costs, making it harder to pass through raw-material inflation immediately.
- **SG&A:** Selling expense ratio increased in 1H, mainly due to intensified market competition, higher platform promotional requirements, and self-funded subsidies after the withdrawal of national subsidies. Management does not expect the selling-expense ratio to decline materially in 2H.
- **2H outlook:** Domestic sales are expected to continue growing, supported by innovation and channel execution. Export remains the key uncertainty, with pressure on SEB-related transaction targets; management will reassess after observing 3Q export performance.
- **FY26 guidance / priorities:** Management still aims to protect profitability and operating quality, but acknowledged greater challenges from weaker export sales, domestic S&M intensity, and export GPM pressure. The company aims to outperform the industry, but overall sales could be affected by exports, and profit pressure is greater than before.

Valuation and price target

We assign a 16x FY27E P/E to Supor, which is one standard deviation below its historical average (Figure 1), compared to 19x previously (largely in line with historical average). We arrive at our new Jun-27 PT of RMB 45 (from RMB 55 previously), due to a combination of valuation multiple and EPS cuts.

Figure 1: Supor - share price and valuation



Source: Bloomberg Finance L.P. (as of 27 July 2026)

Figure 2: Supor - consensus EPS revision in 2026 YTD



Source: Bloomberg Finance L.P. (as of 27 July 2026)

Table 4: Home appliances - valuation comparison table

		J.P. Morgan		Price	MktCap	Share perf		P/E (x)			EV/Sales (x)			ROE	Sales growth (p.a.)				Margins ('26E)		% of sales ('25A)																			
Company	Ticker	Rating	PT	(local)	(\$ B)	YTD	12M	'26E	'27E	'28E	'26E	'27E	'28E	'26E	'22-25	'26E	'27E	'28E	GPM	NPM	R&D	S&M	G&A																	
Chinese Large Appliances																																								
Midea - A	000333 CH	OW	105.0	84.1	94.4	8%	16%	13.8	12.7	11.8	1.3	1.2	1.1	21%	10%	5%	6%	7%	26%	10%	4%	9%	4%																	
Haier - A	600690 CH	OW	25.0	21.9	28.6	(16%)	(15%)	10.1	9.3	8.6	0.6	0.6	0.6	17%	7%	4%	4%	4%	26%	6%	3%	11%	8%																	
Haier - H	6690 HK	OW	25.0	21.5	28.6	(11%)	(16%)	8.5	7.9	7.3	0.6	0.6	0.6	17%	7%	4%	4%	4%	26%	6%	3%	11%	8%																	
Gree - A	000651 CH	N	42.0	40.3	33.4	0%	(14%)	7.8	7.9	7.8	1.3	1.3	1.2	20%	(3%)	2%	-2%	(0%)	29%	17%	4%	5%	3%																	
Hisense - H	921 HK	NC	NC	22.8	4.8	(2%)	(6%)	9.7	8.9	8.1	0.4	0.3	0.3	18%	6%	3%	5%	7%	21%	4%	4%	10%	3%																	
Robam - A	002508 CH	N	17.0	15.6	2.2	(20%)	(21%)	10.7	10.7	10.0	1.4	1.4	1.3	12%	(1%)	3%	0%	3%	50%	13%	4%	29%	5%																	
						Weighted average		11.5	10.8	10.1	1.2	1.1	1.0	20%	6%	4%	4%	5%	27%	10%	4%	9%	4%																	
Chinese Small Appliances																																								
Supor - A	002032 CH	N	45.0	42.8	5.1	(3%)	(17%)	17.1	15.7	14.6	1.5	1.4	1.3	35%	4%	1%	3%	3%	24%	9%	2%	11%	2%																	
Ecovacs - A	603486 CH	UW	47.0	55.1	4.7	(32%)	(22%)	18.0	16.4	15.4	1.4	1.3	1.1	18%	8%	16%	6%	6%	48%	8%	5%	31%	3%																	
Bear Electric - A	002959 CH	NC	NC	32.7	0.8	(23%)	(33%)	12.4	11.3	10.4	0.9	0.9	0.8	13%	8%	5%	6%	6%	37%	7%	4%	18%	5%																	
						Weighted average		16.3	14.3	13.1	1.3	1.2	1.1	22%	16%	12%	9%	8%	38%	8%	5%	22%	3%																	
Global Home Appliances																																								
LG Electronics	066570 KS	N	190K	173K	19.1	88%	124%	12.4	10.3	3.8	0.3	0.3	0.3	9%	2%	7%	5%	5%	25%	2%	3%	14%																		
LG India	LGEL IN	OW	1,620	1,528	10.8	0%	N.A.	49.8	38.1	33.0	4.2	3.7	3.3	26%	N.A.	9%	13%	13%	28%	8%	N.A.	N.A.	N.A.																	
Whirlpool	WHR US	NC	NC	37.3	2.4	(48%)	(63%)	17.0	9.9	7.4	0.2	0.2	0.2	3%	(8%)	(4%)	4%	4%	15%	1%		11%																		
Electrolux	ELUXB SS	N	34.0	22.8	1.9	(35%)	(34%)	N.A.	7.9	5.5	0.1	0.1	0.1	12%	(1%)	(1%)	4%	4%	16%	(1%)	N.A.	11%	4%																	
Shark Ninja	SN US	OW	170.0	148.6	21.0	33%	23%	23.9	20.7	18.4	2.9	2.6	2.4	28%	20%	13%	11%	10%	49%	12%	6%	23%	6%																	
A.O. Smith	AOS US	UW	60.0	60.8	8.4	(9%)	(16%)	16.1	14.9	13.2	2.1	2.1	2.0	27%	1%	2%	4%	4%	39%	13%		20%																		
Rinnai	5947 JP	NC	NC	3,656	3.2	(8%)	(2%)	15.1	14.1	13.3	1.1	1.0	1.0	8%	3%	4%	7%	2%	34%	7%		24%																		
						Weighted average		22.5	18.7	14.9	2.0	1.8	1.7	20%	7%	8%	8%	8%	34%	8%																				
Global HVAC																																								
Trane	TT US	NC	NC	481.0	106.3	24%	2%	32.1	28.3	24.9	4.5	4.2	3.8	36%	10%	10%	9%	9%	36%	14%		18%																		
Johnson Control	JCI US	NC	NC	143.4	87.5	20%	28%	28.2	24.2	21.0	3.5	3.2	3.0	22%	(2%)	9%	7%	7%	37%	12%		24%																		
Carrier	CARR US	NC	NC	68.9	57.2	30%	(15%)	24.5	22.2	20.0	2.6	2.4	2.3	16%	2%	2%	5%	5%	26%	10%	3%	11%																		
Daikin	6367 JP	NC	NC	24,135	43.3	20%	26%	23.3	21.5	18.0	1.4	1.3	1.3	9%	8%	6%	3%	6%	34%	6%	3%	21%																		
Lennox	LII US	NC	NC	541.1	18.8	11%	(18%)	22.0	20.2	18.7	3.3	3.2	3.0	58%	3%	8%	5%	5%	33%	15%		13%																		
						Weighted average		27.8	24.6	21.6	3.4	3.1	2.9	26%	4%	8%	7%	7%	34%	12%																				
Chinese HVAC																																								
Envicool	002837 CH	UW	40.0	60.9	11.5	(26%)	150%	70.2	40.3	28.1	7.8	5.1	3.7	26%	28%	65%	53%	37%	28%	11%	7%	4%	4%																	
Shenling	301018 CH	NC	NC	90.7	5.0	100%	213%	78.8	46.4	28.6	5.9	4.0	2.3	15%	24%	36%	47%	73%	N.A.	7%	5%	6%	5%																	
						Weighted average		72.8	42.2	28.2	7.2	4.8	3.3	23%	26%	56%	51%	48%	28%	10%	7%	5%	4%																	
Global Robotics																																								
FANUC	6954 JP	NC	NC	6,785	40.8	12%	61%	34.1	31.7	24.7	7.9	7.0	6.6	10%	0%	9%	5%	4%	40%	21%	5%	12%																		
Yaskawa Motom	6506 JP	NC	NC	5,257	8.6	11%	63%	33.2	26.0	22.5	2.6	2.3	2.2	10%	(1%)	9%	7%	6%	36%	7%	4%	22%																		
						Weighted average		30.2	28.3	24.6	5.2	4.7	4.3	29%	3%	13%	10%	8%	39%	17%	4%	17%																		
Chinese Robotics																																								
Inovance	300124 CH	OW	84.0	59.5	23.8	(21%)	(9%)	27.1	22.3	18.6	3.0	2.6	2.2	15%	25%	19%	17%	16%	28%	11%	9%	3%	4%																	
Leader Drive	688017 CH	OW	481.0	310.7	8.4	62%	138%	294.4	195.9	137.4	64.1	42.8	30.5	5%	9%	56%	50%	40%	37%	22%	9%	2%	5%																	
Estun	002747 CH	OW	50.0	31.5	4.3	33%	45%	112.0	86.3	67.2	5.0	4.3	3.8	10%	8%	18%	16%	14%	30%	4%	9%	9%	9%																	
						Weighted average		98.7	69.8	51.7	17.3	12.1	8.9	12%	19%	28%	24%	21%	30%	13%	9%	4%	5%																	
Global Industrial Tech																																								
Siemens	SIE GY	OW	345	272.3	242.8	14%	20%	23.6	18.8	16.5	2.6	2.4	2.3	14%	3%	8%	8%	7%	39%	11%	8%	11%																		
Hitachi	6501 JP	OW	6,000	5,023	139.3	2%	9%	29.8	21.9	18.4	2.2	2.0	1.9	13%	(1%)	6%	5%	8%	30%	7%	3%	16%																		
Mitsubishi Electri	6503 JP	OW	7,000	5,669	73.3	24%	71%	26.1	21.7	19.9	2.1	1.9	1.8	11%	6%	5%	7%	6%	32%	7%	4%	20%																		
						Weighted average		25.9	20.2	17.6	2.4	2.2	2.1	13%	2%	7%	7%	7%	35%	9%	6%	14%																		
				Median																					23.3	19.5	17.3	2.1	2.0	1.9	15%	6%	7%	6%	6%	32%	9%	4%	11%	4%

Source: Bloomberg Finance L.P. (as of 27 July 2026)

Investment Thesis, Valuation and Risks

Zhejiang Supor - A *(Neutral; Price Target: Rmb45.00)*

Investment Thesis

We are Neutral on Supor. Supor remains a high-quality small appliance name in our coverage, supported by resilient domestic execution and solid free cash flow generation. The domestic business remains relatively defensive versus large appliances, with product innovation supporting ASP and margin improvement. However, the export business, about one-third of sales, faces lower order visibility from parent SEB and margin pressure from commodity inflation under pre-agreed OEM pricing. At 16x FY27E P/E with a 4.7% FY26E dividend yield, we see fair risk-reward, as relative stability is balanced by near-term earnings and dividend reset risks. Key upside risks are export recovery and OEM export pricing renegotiation.

Valuation

We assign a 16x FY27E P/E to Supor, placing it near 1x std below historical average, and arrive at our Jun-27 PT of Rmb45.

Risks to Rating and Price Target

Upside risks include: 1) Stronger-than-expected US/Europe restocking driving export recovery; 2) new product rollout accelerating domestic ASP and margin gains; 3) input cost normalization and/or OEM export pricing renegotiation; and 4) category expansion.

Downside risks include: 1) Persistent commodity inflation/volatility; 2) SEB cutting orders if European/US demand disappoints or competition intensifies; 3) online platform fee pressure eroding domestic selling margins.

Zhejiang Supor - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	22,427	22,772	23,035	23,795	24,428	Cash flow from operating activities	2,584	2,649	2,120	2,333	2,483
COGS	(16,689)	(16,899)	(17,215)	(17,691)	(18,091)	o/w Depreciation & amortization	209	210	207	208	209
Gross profit	5,529	5,663	5,612	5,895	6,129	o/w Changes in working capital	(107)	633	(55)	1	1
SG&A	(2,578)	(2,809)	(2,845)	(2,932)	(2,980)	Cash flow from investing activities	(5)	(340)	(128)	(106)	(98)
Adj. EBITDA	2,869	2,782	2,693	2,889	3,075	o/w Capital expenditure	(208)	(201)	(162)	(162)	(162)
D&A	(209)	(210)	(207)	(208)	(209)	as % of sales	0.9%	0.9%	0.7%	0.7%	0.7%
Adj. EBIT	2,660	2,572	2,486	2,681	2,866	Cash flow from financing activities	(2,434)	(2,279)	(2,138)	(1,646)	(1,790)
Net Interest	72	16	(12)	11	20	o/w Dividends paid	(2,176)	(2,239)	(2,096)	(1,603)	(1,746)
Adj. PBT	2,732	2,588	2,474	2,691	2,886	o/w Shares issued/(repurchased)	0	11	0	0	0
Tax	(487)	(493)	(472)	(511)	(548)	o/w Net debt issued/(repaid)	(201)	(2)	0	0	0
Minority Interest	(1)	2	2	2	2	Net change in cash	163	19	(146)	581	595
Adj. Net Income	2,244	2,097	2,004	2,182	2,340	Adj. Free cash flow to firm	2,316	2,435	1,968	2,162	2,304
Reported EPS	2.80	2.63	2.51	2.74	2.94	y/y Growth	25.7%	5.2%	(19.2%)	9.9%	6.6%
Adj. EPS	2.80	2.63	2.51	2.74	2.94						
DPS	2.79	2.63	2.01	2.19	2.35						
Payout ratio	99.7%	100.0%	80.0%	80.0%	80.0%						
Shares outstanding	801	797	797	797	797						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	2,480	1,983	1,837	2,418	3,013	Gross margin	24.7%	24.9%	24.4%	24.8%	25.1%
Accounts receivable	3,718	3,586	3,589	3,689	3,772	EBITDA margin	12.8%	12.2%	11.7%	12.1%	12.6%
Inventories	2,566	2,408	2,474	2,542	2,599	EBIT margin	11.9%	11.3%	10.8%	11.3%	11.7%
Other current assets	1,840	2,988	2,988	2,988	2,988	Net profit margin	10.0%	9.2%	8.7%	9.2%	9.6%
Current assets	10,604	10,965	10,887	11,636	12,372	ROE	35.2%	33.0%	32.1%	33.7%	33.1%
PP&E	1,506	1,485	1,503	1,520	1,536	ROA	17.0%	15.7%	15.0%	15.9%	16.2%
LT investments	340	61	61	61	61	ROCE	33.7%	32.8%	32.2%	33.5%	32.8%
Other non current assets	816	907	889	873	859	SG&A/Sales	11.5%	12.3%	12.4%	12.3%	12.2%
Total assets	13,266	13,417	13,340	14,090	14,828	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	0	0	0	0	0	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	5,221	5,676	5,683	5,815	5,925	Sales/Assets (x)	1.7	1.7	1.7	1.7	1.7
Other short term liabilities	1,302	1,202	1,208	1,245	1,276	Assets/Equity	206.5%	209.9%	214.4%	211.6%	204.5%
Current liabilities	6,524	6,878	6,891	7,060	7,201	Interest cover (x)	NM	NM	226.9	NM	NM
Long-term debt	0	0	0	0	0	Operating leverage	33.5%	(216.1%)	(288.6%)	237.7%	259.8%
Other long term liabilities	280	221	225	229	234	Tax rate	17.8%	19.1%	19.1%	19.0%	19.0%
Total liabilities	6,804	7,098	7,115	7,289	7,435	Revenue y/y Growth	5.3%	1.5%	1.2%	3.3%	2.7%
Shareholders' equity	6,424	6,285	6,193	6,772	7,366	EBITDA y/y Growth	1.6%	(3.0%)	(3.2%)	7.3%	6.4%
Minority interests	37	34	31	29	27	EPS y/y Growth	3.7%	(6.1%)	(4.4%)	8.9%	7.2%
Total liabilities & equity	13,266	13,417	13,340	14,090	14,828	BVPS y/y Growth	1.9%	(1.6%)	(1.5%)	9.4%	8.8%
BVPS	8.02	7.89	7.77	8.50	9.24						
Net debt/(cash)	(2,480)	(1,983)	(1,837)	(2,418)	(3,013)						
Valuation											
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	15.3	16.3	17.0	15.6	14.6						
P/BV (x)	5.3	5.4	5.5	5.0	4.6						
P/Sales (x)	1.5	1.5	1.5	1.4	1.4						
EV/EBITDA (x)	-	10.5	10.9	10.0	9.2						
Dividend Yield	6.5%	6.1%	4.7%	5.1%	5.5%						

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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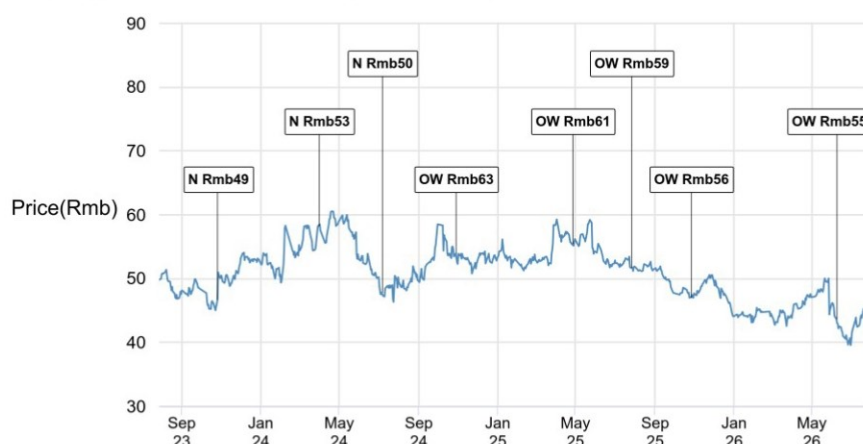
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Zhejiang Supor - A (002032.SZ, 002032 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
27-Oct-23	N	46.67	49
01-Apr-24	N	58.20	53
07-Jul-24	N	47.83	50
29-Oct-24	OW	53.92	63
27-Apr-25	OW	55.45	61
27-Jul-25	OW	51.71	59
27-Oct-25	OW	47.00	56
09-Jun-26	OW	43.64	55

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 09, 2018. All share prices are as of market close on the previous business day.

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